

OCTOBER 2024

THAKUR COLLEGE OF SCIENCE AND COMMERCE

(Empowered Autonomous)

SEMESTER END EXAMINATION

Programme: S.Y.B.M.S.

Course Title: Principles of Economics II

Max Marks: 40

Max Time: 1 hr 30 minutes

Code: CX3084

QUESTION PAPER — 2024

Roll No: _____

Instructions:

1. All the questions are compulsory.
2. Figures to the right indicate full marks
3. Draw neat and labeled diagrams, wherever necessary.
4. All the questions have internal choices.
5. Use of simple calculator is allowed.

Q1. Choose the correct options. Attempt any eight (8) out of ten (10).

(1m×8=8m)

1. Which of the following is defined as the study of the behavior and performance of an economy as a whole?
 - a) Microeconomics
 - b) Macroeconomics
 - c) Income and employment theory
 - d) None of the above
2. Which of the following is a factor income?
 - a) Wages
 - b) Rent
 - c) Profit
 - d) All of the above
3. There are maximum possible sectors in the circular flow of income.
 - a) Only 2
 - b) Only 3
 - c) Only 4
 - d) None of the above
4. Gross Domestic Product is a sum of
 - a) Net National Product, Disposal Income and Gross National Product
 - b) Investment, Consumption, Government Purchases and Net Exports
 - c) Investment, wages, Profits and Intermediate Production
 - d) All of the above.
5. According to Keynes, what could cause a “liquidity trap” in the economy?
 - a) High inflation
 - b) Low interest rates
 - c) High government spending
 - d) High consumer savings.

6. Who is the Central monetary policy Authority in India?

- a) RBI
- b) Finance Ministry
- c) Parliament
- d) Prime Minister

7. High- Powered money includes:

- a) Currency in circulation and reserves held by banks
- b) Currency in circulation and demand deposits
- c) Savings deposits and time deposits
- d) Currency in circulation and loans extended by bank

8. How might an expansionary fiscal policy impact unemployment?

- a) Increase Unemployment
- b) Decrease unemployment
- c) No impact on Unemployment
- d) Depend on other factors

9. If a government's total expenditures exceed its total revenue, what kind of budgetary situation does it have?

- a) Surplus Budget
- b) Deficit Budget
- c) Balanced Budget
- d) Progressive Budget

10. What is the primary characteristics of the foreign exchange market?

- a) Centralized Trading Location
- b) Exclusive Access
- c) Lack of participants
- d) Decentralized Over-the-Counter (OTC) trading

Q2. State whether the following statements are True or False. Attempt any seven (7) out of ten (10). (1m×7=7m)

- 1. Macroeconomics is important to understand the theories of microeconomics.
- 2. Say's law states that demand creates its own supply.
- 3. Investment multiplier(r) = $1/(1-MPC)$
- 4. Philips curve shows the relationship between inflation and national income.
- 5. In a trade cycle, recession is followed by inflation.
- 6. Income tax rate is a tool of monetary policy.
- 7. Fiscal policy plays a major role in creation of employment in the economy.
- 8. Expansionary monetary policy helps in controlling inflation.

9. Capital expenditure includes the expenditure on salaries of the government employees.

10. Monetary policy and fiscal policy both help in controlling business cycle.

Q3. Attempt either “A&B” or “P&Q”.

10m

A. Define macroeconomics. Discuss the importance of macroeconomics.

5m

B. Define Trade cycle and explain its phases.

5m

OR

P. Critically explain Say’s Law of Market.

5m

Q. Illustrate and explain short run Philips Curve.

5m

Q4. Attempt either “A&B” or “P&Q”.

10m

A. Define monetary policy and discuss its primary objectives.

5m

B. Explain the advantages of the protectionism.

5m

OR

P. Explain the key features and functions of foreign exchange markets.

5m

Q. Discuss various types of Budget.

5m



Q5. Attempt either “A or B”.**5m**

A. Write short note on Asian Financial Crisis.

5m**OR**

B. Using the data provided in table:

5m

(a) Calculate the APC for each income level.

(b) Calculate MPC for each income level.

Income (Rs. Crores)	Consumption (Rs. Crores)
1000	900
2000	1600
3000	2200
4000	2700
5000	3100
6000	3400

